

Agentic AI for Accounts Payable — Revised Scope

Prepared for: [Client]

ERP: SAP (ECC on HANA)

Version: 2.0 — revised after MIRO and payment-process discovery calls

Date: July 2026

1. Context

Following two working sessions — one walking through MIRO/invoice processing, one through the payment run — this proposal is rebuilt around how the AP function actually operates today, and extended to cover the gaps left open in the competing proposal.

The current process is manual end to end: invoices arrive in a shared mailbox (JPU-AP), MIRO is keyed by hand in SAP after a quality gate, payments run weekly through F110 into a NACHA file taken to the bank, and reconciliation is a weekly Excel exercise feeding a manually-updated Power BI dashboard.

2. What the Discovery Calls Changed

The build has to respect the real mechanics observed, not a generic three-way-match:

- **Quality (QM) gate between GRN and MIRO** — every invoice waits on an end-user quality decision before MIRO can post. The agent must detect the QM-pending state and hold, not force a post.
- **No maker-checker on MIRO today** — once QM clears, MIRO posts straight to GL. The client asked whether an approval/threshold layer can be introduced; we've scoped it as an option.
- **Tax-code matching and tolerance** — tax code must be corrected (e.g. V0 → B2) and recalculated; manual tolerance today is ~\$1–2, with anything larger needing a defined threshold (to be set by the finance authority).
- **Freight/customs lines kept deliberately open** — freight often arrives later on a separate invoice from a third party, so those PO lines must stay open; the agent must know not to close them.

- **PO tolerance limits (~20%)** — quantity/amount over the PO tolerance throws a hard SAP error requiring a PO amendment via procurement; the agent must flag this rather than fail silently.
 - **Payment side is fully manual** — F110 run, FDTA NACHA generation, manual F53/F48 for ACH/advances, manual advance knock-off against the vendor ledger, weekly Excel reconciliation.
 - **Reporting is brittle** — Power BI fed by manually-maintained Excel, updated daily off an IT-generated mail.
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3. Scope of Work

Phase 1 — Invoice Processing & MIRO (core)

Area	Agent Responsibility
Intake	Read the shared AP mailbox; log every invoice; classify email intent (invoice vs query vs duplicate)
Extraction	Extract header + line items from digital PDFs via LLM structured output
PO Identification	Resolve PO from the invoice reference; strip internal suffixes (e.g. the BT-04/05 dash notation) to the matched portion only
Three-Way Match	PO ↔ GRN ↔ Invoice on quantity, unit price, total, line by line
Tax Code Handling	Detect and apply correct tax code (V0 → B2 etc.); recalculate; flag tax variance beyond threshold
Freight / Customs Awareness	Recognise freight/customs lines that must remain open; never auto-close them; handle separate-invoice freight

QM Gate Awareness	Detect QM-pending state; hold MIRO and surface to the queue rather than force posting
Tolerance & PO Limits	Flag quantity/amount breaches of PO tolerance (~20%) for procurement PO amendment
Single-Click MIRO	Present a fully staged MIRO document; human commits to SAP in one click; support simulate-before-post
Exception Queue	Route every mismatch, missing GRN, tax gap, tolerance breach with full context and confidence score

Phase 1 — Gaps from the Competing Proposal (now included)

The proposal the client received left these open. We cover them:

- **Multiple POs on one invoice** — supported, matching at PO line-item level.
- **Missing PO number on invoice** — exception-managed: flag, attempt vendor/history inference, route for manual PO tagging rather than silently failing.
- **Fraud & duplicate detection (basic)** — duplicate checks on invoice number, amount, vendor, date, and legal entity before posting. Complex fraud patterns noted as a later phase.
- **Missing-invoice notification** — where a GRN is received but no matching invoice arrives, flag the open GRN so it isn't lost (addresses the weekly Excel reconciliation gap directly).

Phase 2 — Payments & Reconciliation

Area	Agent Responsibility
Payment Proposal	Assemble the weekly F110 payment run by aging and due date; surface early-payment-discount opportunities

Payment Block Handling	Surface blocked items for review; flag freight-vendor auto-blocks
NACHA Prep	Stage the FDTA NACHA file for the operator to take to the bank (agent prepares; human executes the bank step)
Advance Knock-Off	Track advances against the vendor ledger; propose set-off as invoices arrive against milestone/partial-payment vendors
Reconciliation	Automate the weekly open-MIRO / open-GRN / advance reconciliation currently done in Excel
Dashboard	Live AP dashboard (aging, blocks, cycle time, discount capture, touchless rate) fed directly from SAP — replacing the manually-updated Power BI

Optional — MIRO Approval Layer

A maker-checker / threshold-based approval step before MIRO hits GL, per the client's question in the call. In-app approval with threshold routing (e.g. auto-clear under limit, route above).

Out of scope: vendor master creation, ERP licensing, statutory/tax advisory, non-AP modules.

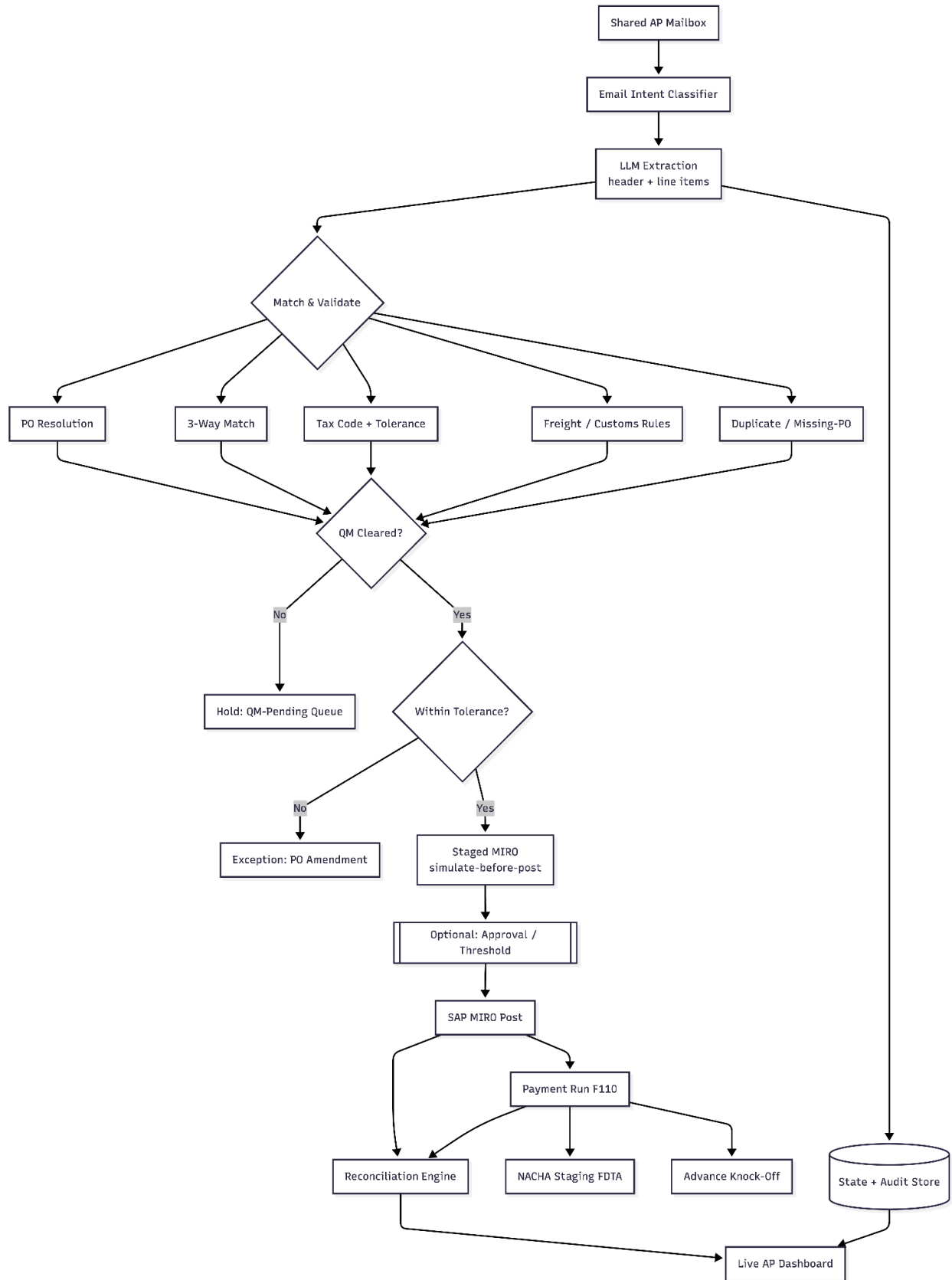
Explicitly deferred: milestone-based advance payments with no GRN; complex multi-vendor-single-PO customs allocation beyond line-item matching; handwritten PO numbers (case-by-case, OCR-dependent).

4. Deliverables

- Shared-mailbox ingestion + email intent classification
- LLM extraction with confidence scoring
- Three-way match engine with tax-code, freight, QM-gate and tolerance awareness
- SAP integration layer for staged MIRO posting (single-click, simulate-before-post)
- Exception dashboard + human review queue

- Duplicate / missing-PO / missing-invoice detection
 - Payment run assembly, NACHA staging, advance knock-off, reconciliation engine (Phase 2)
 - Live SAP-fed AP dashboard (Phase 2)
 - Optional MIRO approval/threshold layer
 - Deployment, UAT, handover documentation
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5. Technical Architecture



Stack: Python · LLM (extraction + decisioning, structured output) · SAP integration layer · PostgreSQL · React dashboard

6. Timeline & Milestones

The engagement is delivered in two phases. Phase 2 can begin immediately after Phase 1 or be scheduled later, and is signed separately.

Phase 1 — Invoice Processing & MIRO — 9 weeks

Milestone	Deliverable	Week
P1-M1	Mailbox ingestion, extraction, PO resolution, SAP integration live	4
P1-M2	Full match engine — 3-way, tax code, freight, QM gate, tolerance, duplicate / missing-PO / missing-invoice; single-click MIRO; exception dashboard	7
P1-M3	UAT, production deployment, handover	9

Phase 2 — Payments & Reconciliation — 7 weeks

Milestone	Deliverable	Week
P2-M1	Payment run assembly (F110), block handling, NACHA staging (FDTA)	3
P2-M2	Advance knock-off, reconciliation engine, live SAP-fed AP dashboard	6

Optional MIRO approval / threshold layer adds ~1–1.5 weeks to Phase 1 if taken.

7. Commercial

Priced and signed per phase. Phase 1 can proceed on its own; Phase 2 is a separate commitment the client can take up after seeing Phase 1 in production.

Phase 1 — Invoice Processing & MIRO

Milestone	Trigger	Payment
P1-M1	On signing and project start	30% — INR 1,50,000
P1-M2	On core MIRO agent delivery	40% — INR 2,00,000
P1-M3	On UAT sign-off and deployment	30% — INR 1,50,000

Phase 1 total: INR 5,00,000

Phase 2 — Payments & Reconciliation

Milestone	Trigger	Payment
P2-M1	On Phase 2 start	30% — INR 1,20,000
P2-M2	On reconciliation + dashboard delivery	40% — INR 1,60,000

P2-M3 On UAT sign-off and deployment 30% — INR 1,20,000

Phase 2 total: INR 4,00,000

Combined (both phases): INR 9,00,000 *(taxes as applicable)*

Optional add-ons

Item	Indicative
MIRO approval / threshold layer	INR 60,000 – 90,000
Complex customs / multi-vendor-single-PO allocation	Scoped on documented requirement
Advanced fraud detection (beyond basic duplicates)	Scoped later phase

Operational costs — client-borne, at actuals

Component	Monthly
LLM API	INR 8,000 – 16,000
OCR engine (if scanned invoices appear)	INR 2,000 – 5,000
Hosting + database	INR 3,000 – 6,000

Total

INR 13,000 – 27,000

No platform, per-seat, or licensing fees payable to us beyond the above.

Optional: post go-live retainer for tuning and accuracy improvement — recommended for the first 3 months. Quoted separately.

8. Assumptions

- Client provides SAP access (integration layer), sandbox, and sample invoices/MIRO copies.
- Tax codes, tolerance thresholds, GL mappings, and approval limits documented at kickoff; the MIRO threshold is set by the finance authority.
- QM process and its SAP status are exposed to the integration layer.
- Finance SPOC available for rules clarification and UAT.
- Bank submission of the NACHA file remains a human step (agent prepares, operator executes at the bank).
- Digital PDF invoices assumed; scanned handling and handwritten PO numbers are separate scope.
- ~90–95% automation is reached progressively over the post-go-live stabilisation period, on in-scope invoice types.